



FUNERAL ASSURERS REPORT

FOR THE YEAR ENDED 31 DECEMBER 2019



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Disclaimer

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This report relates to funeral assurance business written by funeral assurers only and does not relate to funeral assurance business written by life assurance players. The funeral business generated by life assurers is reported in the life assurance report.

Please Note: All Monetary Figures are in ZWL\$ except where stated. Figures relating to periods before 22 February 2019 which were originally reported in USD\$ were converted into ZWL\$ at parity with the United States Dollar in accordance with the provisions of S.I 33 of 2019.

A close-up photograph of a hand pouring water from the palm onto a small green seedling growing out of a mound of dark soil. The background is a soft, out-of-focus green. The entire image is overlaid with a semi-transparent dark blue filter.

SECTION A



1. Executive Summary

1.1 There were 8 registered and operating funeral assurance players as at 31 December 2019. One player Doves funeral assurance company was granted a life assurance licence during the year reducing the number of funeral assurers from 9 to 8.

1.2 The Gross Premium Written (GPW) for the funeral assurance industry players increased by 55.29% from \$22.26 million for the year ended 31 December 2018 to \$34.56 million for the year ended 31 December 2019. The increase is mainly attributable to upward premium reviews that were done by players during the year under review.

1.3 Reinsurance by funeral assurance players remained low as the retention ratio stood at 99.93% with only one funeral player having a reinsurance arrangement in place, while other players retained 100.00% of their risks.

1.4 Profit after tax and interest for the funeral assurance industry increased by 329.75% from \$1.17 million for the year ended 31 December 2018 to \$5.04 million for the year ended 31 December 2019. This increase in profits is attributable to increase in investment income, which

was driven by investment gains.

1.5 Funeral assurers' total assets increased by 33.83% from \$215.49 million as at 30 September 2019 to \$288.39 million as at 31 December 2019. The growth in assets was mainly driven by increase in property values and other investments. This was as a result of property revaluations and exchange rate movements.

1.6 Funeral assurance industry players remain non-compliant with the minimum required Prescribed Asset (PA) ratio of 10.00%, with an industry average ratio of 0.09% as at 31 December 2019. This is a decrease of 5.78% from \$289 million as at 30 September 2019 to \$272.3 million as at 31 December 2019.

1.7 Total technical liabilities increased by 9.75% from \$ 25.41 million as at 30 September 2019 to \$ 27.89 million as at 31 December 2019, with future policyholder benefits being the major component constituting 97.95% of technical liabilities.

1.8 The Funeral assurance industry average retention ratio as at 31 December 2019 was 99.93% indicating a very low reinsurance uptake.

1.9 The number of policies written increased by 16.04%, from 165,290



policies as at 30 September 2019 to 191,805 policies as at 31 December 2019.

1.10 Sum assured for the funeral assurance industry increased by 32.92% from \$164.67 million as at 30 September 2019 to \$218.88 million as at 31 December 2019.

1.11 Table 1 below indicates the key financial highlights for the funeral assurance industry as at 31 December 2019.

Table 1: Key Performance Indicators

Key Financial Indicators	Funeral Assurers		
	Dec-18	Dec-19	Change
Funeral assurers GPW (\$ 000)	22,257	34,562	55.29%
Total Gross Claims (\$ 000)	6,074	9,776	60.95%
Operating Expenses including Administration and Management (\$ 000)	12,201	22,517	84.55%
Commissions (\$ 000)	2,039	2,583	26.68%
Total Costs (\$ 000)	20,314	34,876	71.68%
Technical profit	4919	4,294	-12.71%
Profit Before Interest and Tax (\$ 000)	1,173	5,041	329.75%
Key Ratios			
Expense Ratio	54.82%	65.19%	10.18%
Claims Ratio	29.17%	28.30%	-1.00%
Combined Ratio	91.27%	100.98%	9.71%
Retention ratio	99.94	99.93%	0.01%
Business Mix	Sep-18	Dec-19	Change
Total Number of Policies	165,290	191,805	16.04%
Total Sum Assured	164,671,470	218,877,000	32.92%
	Sep-19	Dec-19	Change
Total Assets (\$ 000)	215,485	288,389	33.83%
Total Liabilities (\$ 000)	45,065	51,118	13.43%
Capital - Net Assets (\$000)	170,420	237,271	39.32%
Capital to liability Ratio	378.16%	464.16%	86.00%
Prescribed Assets (\$000)	289	272	-5.78%

2. Introduction

The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe. This report outlines industry developments and IPEC's various activities in the life assurance industry consistent with its statutory mandate for the 12 months ended 31 December 2019.

Terms of Reference

The activities of the Commission are guided by the following Acts and their Regulations:

- Insurance and Pensions Commission Act [Chapter 24:21];
- Pension and Provident Funds Act [Chapter 24:09];
- Insurance Act [Chapter 24:07];
- Money Laundering and Proceeds of Crime Act [Chapter 09:24];
- Finance Act [Chapter 23:04];
- Public Entities and Corporate Governance Act [Chapter 10:31];
- Public Finance Management Act [Chapter 22:19]; and
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23].

3. Economic Developments

3.1 World Economic Growth Rates

Global economic growth is projected to have grown by 3% in 2019. Global economic growth prospects continue to be subject to downside risks such as trade barriers emanating from trade wars between the biggest economies of USA and China, geopolitical tensions such as Brexit and slowed productivity and other trade restrictions. While more advanced economies are projected to have grown by 1.7% in 2019, Sub-Saharan Africa region is projected to grow by 3.2%. The following table summarises global economic growth developments and prospects for selected regions and countries.

Table 2: Global Economic Growth & Outlook (%)

	2018	2019 Projections	2020 Projections
Global Output	3.6	3.0	3.4
Advanced Economies	2.3	1.7	1.7
USA	2.9	2.4	2.1
Euro Area	1.9	1.2	1.4
Japan	0.8	0.9	0.5
Emerging Market & Developing Economies	4.5	3.9	4.6
China	6.6	6.1	5.8
India	6.8	6.1	7.0
Sub-Saharan Africa	3.2	3.2	3.6
SADC	3.2	2.6	3.6
South Africa	0.8	0.7	1.1
Zimbabwe*	3.4	-6.5	3.0

3.2 Sub-Saharan Africa

Across Sub-Saharan Africa, growth is estimated to improve from 3.2% in 2019 to 3.6% in 2020. The major sources of economic obstacles in developing economies continue to be climate-induced challenges such as droughts, cyclones and floods. Recovery in commodity prices such as oil is expected to support growth prospects in oil producing countries.

3.3 Domestic Economy Outlook

The country's economy is estimated to have contracted by -6.5% in 2019, with prospects for growth of 3.0% in 2020. The negative growth was mostly on account of climate change induced challenges such as the 2018/19 drought related food insecurity, depressed electricity generation, negative impact of Cyclone Idai and macroeconomic challenges which included foreign currency supply bottlenecks, currency devaluation and inflationary spikes. In response to the macroeconomic and climate induced challenges, most sectors of the economy recorded negative growth rates in 2019.

Regardless of the challenges militating against growth efforts, month-on-month inflation slowed down during the second half of the year closing the year at 16.6% as at December 2019. The slowdown in inflation was on account of adoption of a mono-currency regime in conjunction with corrective measures in the foreign exchange market.

3.4 Currency Reforms

2019 marked the restoration of the monetary policy following the re-introduction of a mono-currency regime. The currency journey map from 2009 is as shown in Figure 1 on the next page

Figure 1: Currency Journey Map



3.5 Exchange Rate Developments

During the period under review, exchange rate fluctuations continued to sway the pricing of goods and services in the economy. Volatility in the foreign exchange market continued to weigh down the capacity of industry players to meet contractual obligations and meet reasonable policyholder and fund member expectations thereby undermining confidence in the sector. The following table illustrates trends in the exchange rate and month-on-month inflation during the period under review.

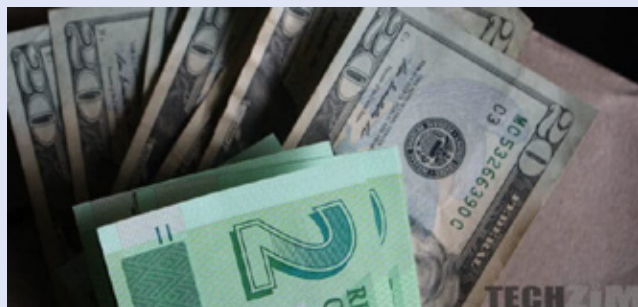


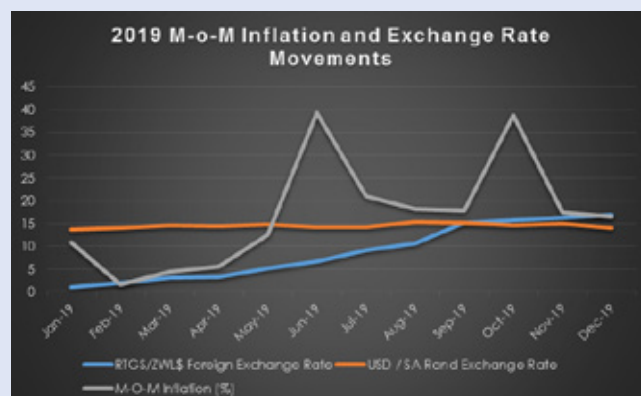
Table 3: 2019 Exchange Rate and Month-on-Month Inflation Movements

Month	RTGS / ZWL\$ Foreign Exchange Interbank Market Rate*	USD/South African Rand **	Month on Month Inflation*
January 2019	1	13.38	10.75%
February 2019	2.50	13.94	1.67%
March 2019	3.01	14.57	4.38%
April 2019	3.26	14.35	5.52%
May 2019	5.26	14.81	12.54%
June 2019	6.62	14.14	39.26%
July 2019	9.19	14.14	21%
August 2019	10.71	15.33	18.10%
September 2019	15.19	15.14	17.70%
October 2019	15.67	14.63	38.75%
November 2019	16.31	14.94	17.46%
December 2019	16.77	14.04	16.55%

Figure 2 below illustrate trends in the exchange rates and month on month inflation during the period under review.

Figure 2: Exchange Rate and

Month-on-Month Inflation Trends

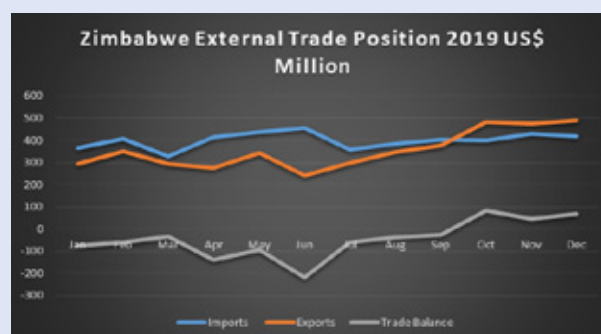


Source: RBZ; *Zimstat and ** www.marketwatch.co.zw

3.6 Trends in Month-on-Month Inflation

As shown in Table 3 and Figure 2 above, month-on-month inflation spiked in June 2019 and October 2019, stabilising between August and September and November and December 2019 due to fiscal discipline by treasury and monetary interventions. Despite the spikes, the inflation rate slowed down towards the end of 2019 on account of fiscal discipline, exchange rate stabilisation measures by the RBZ and stability in the external trade balance. The on the table below shows the 2019 external trade balance for Zimbabwe.

Figure 3: 2019 Zimbabwe External Trade Balance



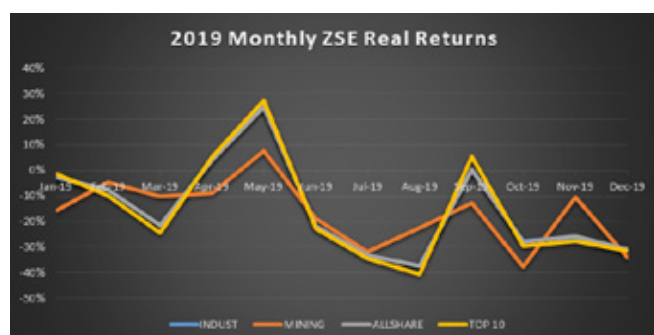
Source: www.equityaxis.net

3.7 Performance of the Zimbabwe Stock Exchange (ZSE)

During the period January to December 2019, the ZSE witnessed negative real returns on all counters albeit a generally bullish trend. The introduction of currency

reforms was characterised by disinvestments by some foreign investors. The performance of the ZSE during the year is depicted in figure 4 below.

Figure 4: Performance of Zimbabwe Stock Exchange



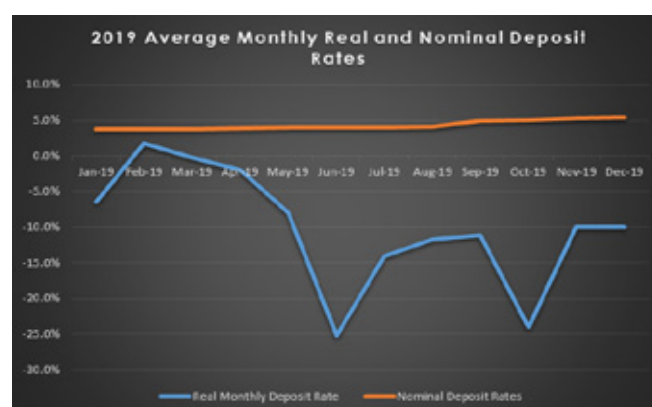
Source: Zimbabwe Stock Exchange
Equities are generally regarded as value preserving instruments ahead of money market instruments. However, the real returns on the ZSE were mainly on the negative side during the year thereby weighing down investment appetite. In this regard, ZSE institutional investors, the bulk of whom are insurance companies and pension funds had negative returns from such investments.

3.8 Performance of Money Market Investments

Real returns on money market investments were in the negative territory whilst nominal deposit interest rates continued to be flat during the year. Although the market remained in the negative, there were slight improvements during the three months of July, August and September before taking a dip in October 2019. The market showed signs of stability during November and December albeit the negative real returns. The signs of stability in the money market could have been on the back of regulatory interventions by the Reserve Bank of Zimbabwe that included the sharp increase of minimum lending rates from 10-15% to 50%.



Figure 5: 2019 Trends in the Money Market



Source: Reserve Bank of Zimbabwe
3.7 Trends in Real Estate Market

Performance in the real sector continues to be depressed owing to perceived uncertainties related to currency changes and currency instability. Resultantly, most sellers are withholding their property as a precautionary measure.

Notwithstanding that, income adjustments lag behind inflation rates. Property owners continue to either hike their rentals to cushion themselves against inflationary pressures or now prefer holders of free funds as tenants. This trend has resulted in low occupancy as tenants either relocate to cheaper places or down-scale office space.

4. Commission at a glance

During the year under review, the following activities and programs were undertaken by the Insurance and Pensions Commission:

4.1 Complaints Resolution Report

During the review period, the Commission handled seven (7) complaints relating to funeral assurance, four (4) of which, were resolved while three (3) were pending. Pending complaints relate to those where the policyholders require communication on the reasons for steep increases in monthly premiums and the options available to them, if they want to continue with the policies. The table 4 below depicts the nature of complaints handled.

Table 4:- Nature of complaints handled

Nature of complaints	Number of complaints	% total
Increase in premiums	2	29%
Multiple policies – cash in lieu of service	3	42%
Different benefits	2	29%
Total	7	100%

Resolved cases were related to complaints where policyholders had multiple policies and funeral assurers were reluctant to pay the cash in lieu of service. The Commission engaged the concerned entities who agreed to meet their obligations by paying the cash in lieu of service, pay for groceries and cash as per the policy conditions.

The Commission urges funeral assurers to treat their policyholders fairly by settling valid claims without subjecting the customers to unnecessary delays. The law requires funeral assurers to pay cash in lieu of service where service is not offered. With regards to the unilateral increase of funeral premiums, policyholders were provided with options to either continue with the policies with reduced benefits or to terminate the policies. In this regard, the Commission underscores the need for funeral assurers to provide adequate information to policyholders to enable them to make informed decisions.



4.2 Post-Commission of Inquiry Reforms and Compensation

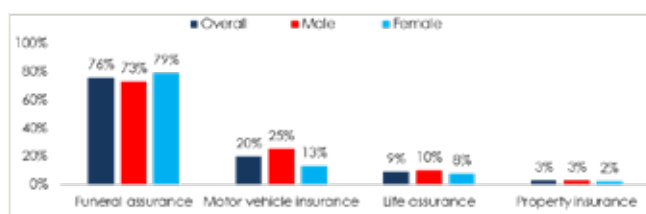
Framework

The Commission continued with the implementation of the recommendations of the Justice Smith-led Commission of Enquiry especially capacitating the Commission and guiding the sector.

4.3 Insurance Awareness and Uptake

The Commission undertook a survey on insurance awareness during the last quarter of 2019. According to the survey, about 71% of Zimbabweans know about insurance while only 34% have some form of formal insurance. However, of the insured Zimbabweans, 76% have funeral assurance, followed by motor vehicle insurance at 20%. The major sources of insurance awareness are television, radio and family.

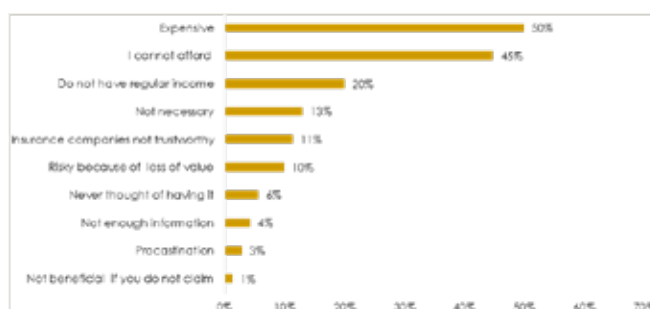
Figure 6: Insurance uptake



4.4 Barriers to getting insurance

According to the survey, key barriers to insurance uptake relate to affordability as depicted on figure 7 below:

Fig 7: Barriers to Insurance Uptake





4.5 Customer Satisfaction Index

According to the survey, the overall customer satisfaction index for 2019 based on customer experience, ability to pay claims, paying claims on time and reasonable premiums stood at 55%. This was based on policyholders who had claimed before.

4.6 Guidance Paper on Currency Reforms and Revaluation Gains

Following the recent currency reforms, the Commission issued a Guidance Paper on Currency Reforms and Revaluation Gains to guide the apportionment of revaluation gains between policyholders and shareholders. The Guidance Paper was issued ahead of the gazetting of the relevant Statutory Instrument by the Minister of Finance and Economic Development for industry players to prepare. The Guidance Paper is aimed at guiding the industry.

4.7 Zimbabwe Integrated Capital and Solvency Programme (ZICARP)

Progress of the ZICARP project is on-going with the consultants now finalising the Quantitative Impact Study (QIS). Pillar 3 of the project relating to Disclosure Guidelines has now been finalised and the Guidelines have now been issued to the industry. Consultants are in the process of developing a Risk Based Capital Framework, the Zimbabwe Integrated Capital and Risk Project (ZICARP) which will go a long way in ensuring that players hold capital levels that are aligned to risks that they carry on their balance sheets. Implementation of the Zicarp project is scheduled for fourth quarter 2020.

4.8 Implementation of International Financial Reporting Standard (IFRS) 17

Since the standards were held in abeyance pending further guidance from the Public Accountants and Auditors

Board (PAAB), the Commission shall update the industry of any further developments.

4.9 Financial Inclusion Initiatives

The National Financial Inclusion Strategy (2016 – 2020) is coming to an end in December 2020. For IPEC, milestones in the insurance and pension industry include;

4.9.1 Development of a micro insurance regulatory framework.

Registration of micro insurance players and microinsurance products for both microinsurers and conventional insurers. IPEC working towards the development of weather index-based insurance regulatory framework. The process will start with a mapping study of weather indexed-based insurance products, index insurance capacity building for IPEC staff followed by the development of a regulatory framework for weather indexed insurance.

The Commission also undertook Consumer Education Programmes in the form of radio and televised educational programmes, exhibitions, workshops and roadshows. Use of digital and social media platforms was also adopted to educate the public about insurance matters, training of journalists on insurance reporting to capacitate journalists so that they can report objectively, as well participating in the Global Money Week commemorations.

4.9.2 Anti-Money Laundering and Combating of Financing of Terrorism (AML/CFT)

The 2019 National Risk Assessment Report has been finalised. The Assessment indicates that the insurance and pension industry is generally a low risk area in terms of money laundering. The results of the National Risk Assessment were incorporated into the NRA Report which is due to be launched by Government any time soon.



SECTION B

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Funeral Assurance Business

5. Performance in-terms of Business Written

5.1 The funeral assurance industry's total GPW increased by 55.28% % from \$22.26 million for the period ended 31 December 2018 to \$34.56 million for the year ended 31 December 2019. The increase is mainly attributable to the increase in premiums in line with the general increase in price levels in the economy.

5.2 However the increase in GPW trailed increases in inflation indicating a negative real growth in premiums.

5.3 Increase in GPW for the funeral assurance industry in real terms continues to be low at the back of volatile economy mainly driven by referencing of prices to the ZWL/USD exchange rate which has squeezed disposable income for households.

5.4 Of the 8 funeral assurance companies, 7 posted positive nominal growth ranging from 16.57% to 86.54% while one player posted negative growth of 42.25%.

5.5 As per the 2019 fourth quarter Life Assurance report, Life assurance players continue to write the bulk of funeral assurance business, writing 92.91% for the year ended 31 December 2019

5.6 A detailed breakdown of GPW per industry player is shown in Table 5 below.

Table 5: Gross Premium Written per Company (\$ 000)

	Name of Company	Dec-18	Dec-19	Change
1.	First Funeral	6,391	7,450	16.57%
2.	Foundation	1,046	1,475	41.01%
3.	Moonlight	11,944	20,559	72.13%
4.	Orchid	49	58	18.37%
5.	Passion	1,218	2,127	74.63%
6.	Ruvimbo	520	970	86.54%
7.	Sunset	71	41	-42.25%
8.	Vineyard	1,019	1,882	84.69%
	Total	22,258	34,521	55.28%

5.7 Individual business continues to constitute a larger proportion of GPW at 90% while corporate business constituted the remaining 10%. This shows that funeral assurance products are mainly bought by individuals.

5.8 The funeral assurance industry also showed a high persistence rate with 95% of the business being recurring business as compared to 5% of new business.



However, this also shows that new business continues to be low, and this may be attributable to the current economic environment.

6. Capitalisation

6.1 Two out of eight funeral assurance players reported capital levels that were below the minimum regulatory of \$2.5 million as at 31 December 2019. The reported capital positions do not account for non - admissible assets stipulated by Statutory Instrument 95 of 2017 on the computation of capital.

6.2 At the time of compiling this report, the minimum capital requirements (MCR) for insurers were reviewed upwards with funeral assurers having an MCR of \$37.5 million. A snapshot of the industry shows that all funeral assurers do not meet the new MCR.

6.3 The Commission has engaged industry players to submit their road maps for compliance by 31 March 2020.

Table 6: Capitalisation Trend Levels

Company	Dec-18 (000)	Dec – 2019
First Funeral	5,829.53	9,211
Foundation	1,445.63	58,262
Moonlight	4,504.36	139,017
Orchid	711.68	754
Passion	535.86	1,118
Ruvimbo	2,466.17	3,451
Sunset	1,682.64	10,006
Vineyard	2,318.11	15,454
Total	37,159.68	237,271

6.4 The Commission implores the funeral assurance industry players to ensure that they are compliant with the required minimum capital requirement at all times, and that they hold enough assets to cover their liabilities as and when they fall due.

7. Asset and Asset Quality

7.1 Total assets for funeral assurers increased by 33.61% from \$215.49 million as at 30 September 2019 to \$287.91 million as at 31 December 2019.

7.2 The change in the asset values was mainly driven by revaluation of properties by funeral assurers as evidenced by an increase in property values by 37% from \$190.38 million as at 30 September 2019 to \$260.06 million as at 31 December 2019.

7.3 As at 31 December 2019 properties were the major component of assets, consisting of 90.32 percent of total assets. This indicates high concentration of assets in properties which can be explained by the ability of properties to maintain value when the value of other assets was being eroded by inflation.

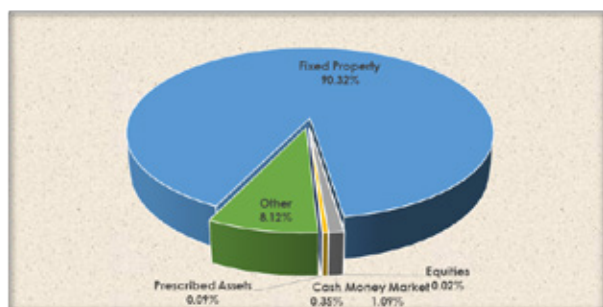
7.4 Cash and cash at bank also increased by 213% from \$319 000 as at 30 September 2019 to \$998 000 as at 31 December 2019 and constituted 0.35% of total assets while other assets increased by 10% from \$21.29 million to \$23.38 million and constituted 8.12% of total assets as at 31 December 2019.

7.5 The funeral assurance industry's percentage of assets invested in equities was only 0.02%. Because of the low investment in equities the industry did not benefit from the bullish market run that was experienced in 2019.

7.6 There is need for industry players to invest in assets that preserve policyholder value and this is even more important in a less stable environment that the economy is experiencing.

7.7 The Commission implores industry players to hold assets that match their liability profiles and that are also in line with the requirements of Circular 1 of 2013.

7.8 The distribution of assets for the funeral assurance industry is as shown in figure 8 on the next page.

Figure 8: Breakdown of Assets

7.9 As at 31 December 2019 the funeral assurance industry with a prescribed asset ratio of 0.09%, remained non-compliant with the required minimum prescribed asset ratios of 10.00% as stipulated by Statutory Instrument 206 of 2019. This is a slight decrease from a ratio of 0.13% recorded as at 30 September 2019.

7.10 The total amount invested in prescribed assets was \$0.27 million against the required minimum amount of \$28.79 million which is 10% of the industry's total assets.

7.11 Compliance with the minimum prescribed asset ratio is a statutory requirement and industry players are required to comply.

7.12 Table 7 below shows the compliance levels for each funeral player.

Table 7: Prescribed Assets for the Funeral Assurance Industry as at 31 Dec 2019

Company	PA Investments (ZWL 000)	Total Adjusted Assets (ZWL000)	PA Ratio (%)	Amount Required to be Compliant (ZWL000)	Variance in Compliance (%)
First Funeral	11	14,487	0.08	1,449	9.9
Foundation	103	61,458	0.17	6,146	9.8
Moonlight	12	175,475	0.01	17,548	9.9
Orchid	0	4,078	0	408	10
Passion	38	1,547	2.46	155	7.54
Ruvimbo	11	4,436	0.25	444	9.75
Sunset	0	9,802	0	980	10
Vineyard	96	16,631	0.58	1,663	9.42
Total	271	287,914	0.09	28,791	9.91

8. Reinsurance

8.1 The funeral assurance industry's risk retention ratio at 99.93% remained very

high in 2019, with only one player reinsuring a small portion of their business (see appendix A1).

8.2 The Commission continues to urge the industry players in the funeral assurance industry to exercise prudent risk management of their books of business and seek reinsurance where necessary.

8.3 Reinsurance is an important risk management tool especially in the prevailing less stable economic environment currently being experienced, which may result in unfavorable claims experience.

9. Actuarial Matters

9.1 Total technical liabilities increased by 9.75% from \$ 25.41 million as at 30 September 2019 to \$ 27.89 million as at 31 December 2019, with future policyholder benefits being the major component constituting of technical liabilities as they accounted for 97.95% of technical liabilities. The remaining 2.05% is composed of unearned premium reserve and gross outstanding claims (see appendix A2).

9.2 Players in the funeral assurance industry offer benefit policies whose cost moves in line with inflation. This therefore calls for players to continuously review their reserves so as to align them with their liabilities.

9.3 For the year under review claims increased by 60.95%, from \$6.07 million to \$9.78 million, a rate of increase that is more than the increase in premiums of 55.29%. Thus, players should take into account claims development in both pricing of their products and setting their reserves.



9.4 The Commission also underscores the need for players to use sound assumptions that take into account developments in their industry and in the economy.

10 Earnings

10.1 Profit after tax for the funeral assurance industry increased by 329.75% from \$ 1.17million for the year ended 31 December 2018 to \$5.04 million for the year ended 31 December 2019.

10.2 The increase in profit after tax is mainly attributable to an increase in investment income for the year under review.

10.3 On the other hand technical profits decreased by 12.58% from \$4.92 million for the year ended 31 December 2018 to \$4.30 million for the year ended 31 December 2019. This decrease is mainly attributable to an increase in incurred claims of 60.95% which is higher than the increase in GPW of 55.29%.

10.4 For the year ended 31 December 2019 the funeral assurance industry reported return on equity and return on assets of 2.12% and 1.75% respectively. This indicates low profitability to equity holders and less efficient use of assets (see appendix A1).

10.5 Total costs for the industry increased by 71.68% from \$20.31 million for the year ended 31 December 2018 to \$34.88 million for the year ended 31 December 2019.

10.6 The funeral assurance industry expense ratio for the year ended 31 December 2019 stood at 65%.

10.7 Despite the increase in claims by 60.95% for the year ended 31 December

2019 as compared to 31 December 2018, the claims ratio for the industry remains relatively low at 28.29%.

10.8 Though this might indicate prudent underwriting by funeral assurers, it might also indicate that funeral assurance industry players are overcharging policyholders.

10.9 In terms of breakdown of costs management and operating expenses constituted 64.56% of total costs while claims and commission constituted 28.03% and 7.41% of total costs respectively.

10.10 The Commission remains very concerned with high management and operating expenses being incurred by funeral assurance industry players and implores players to streamline costs to sustainable levels which are below 20%, in line with international best practice.

11 Liquidity

11.1 The funeral assurance industry had working capital position of \$7.29 million as at 31 December 2019 indicating moderate level of excess current assets over current liabilities (see appendix A1).

11.2 The current ratio for the industry stood at 1.29 times also indicating that the industry had enough current assets to cover current liabilities as they fall due (see appendix A1).

11.3 The Commission continues to encourage industry players to ensure that they always have adequate liquidity to cover claims as and when they fall due and to pay for operational expenses.



12 Market Share

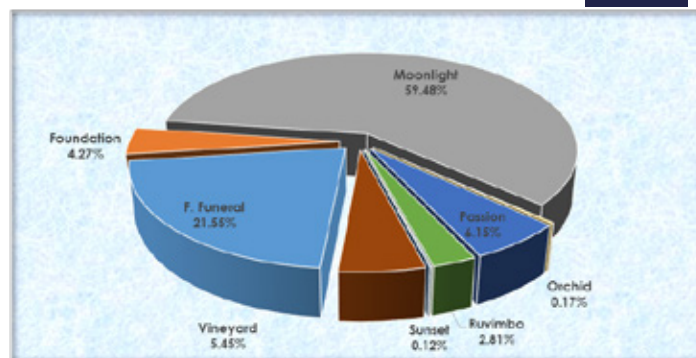
12.1 The funeral assurance continues to be dominated by two players who wrote 81.03% of GPW written for the year ended 31 December 2019. The remaining 18.97% was written by the remaining six players

12.2 In terms of all the funeral assurance business written, the funeral assurance industry wrote 7.09% (amounting to \$34.56 million) while life assurers wrote 92.91%. (amounting to \$452.69 million). This indicates that the funeral assurance industry players are facing stiff competition from life assurers and have to be innovative to remain relevant.

12.3 Distribution of the market share in-terms of GPW for the eight dedicated funeral assurance players is shown in

12.4 Figure 9 below show the market share of funeral assurers.

Figure 9: Market Share in-terms of GPW



13 Conclusion

13.1 The funeral assurance industry players should strive to comply with applicable laws and regulation, especially the minimum required capital and the minimum required prescribed asset ratios to avoid regulatory sanction from the Commission.

13.2 Funeral industry players should strive to streamline their management and operational costs which are high and unsustainable, a situation that renders the industry less defensive to competition from other players that also write funeral assurance business.

13.3 The funeral sector should also take cognizance of the increased competition from the life assurance industry, which requires the funeral assurance industry players to have stronger balance sheets and realign their business models in order to compete effectively.

13.4 The Commission also implores players to be innovative and come up with micro insurance products that enable them to tap into the largely uninsured market of informal business and low income sectors of the population.

Appendix



APPENDIX A1. KEY PERFORMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES

Key Performance Indicator	F. Funeral	Foundation	Moonlight	Orchid	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Capital Adequacy									
Capital Position (\$ 000)	9 211	58 262	139 017	754	1 118	3 451	10 006	15 452	237 271
Capital Maintenance Ratio (CMR)	368,44%	2330,48%	5560,68%	30,16%	44,72%	138,04%	400,24%	618,08%	9490,84%
Equity/Total Assets Ratio	63,58%	94,80%	79,22%	18,46%	70,67%	77,80%	97,75%	92,91%	82,27%
Solvency Margin	174,58%	1822,97%	381,31%	22,64%	240,95%	350,36%	4350,43%	1310,60%	464,16%
Asset Quality									
Total Assets (\$ 000)	14 487	61 457	175 475	4 084	1 582	4 436	10 236	16 632	288 389
Investments to Total Assets	0,32%	0,17%	0,01%	73,46%	46,84%	8,52%	0,00%	1,54%	1,57%
Non-Interest Generating Assets/Total Assets	98,65%	99,91%	99,87%	24,93%	52,21%	99,84%	99,88%	98,33%	98,41%
Fixed Assets/Total Assets	59,23%	98,26%	94,69%	24,36%	0,00%	67,63%	95,64%	89,54%	91,48%
Prescribed Assets Ratio	0,08%	0,17%	0,01%	0,00%	2,46%	0,25%	0,00%	0,58%	0,09%
Premium Debtors/Gross Premium	76,04%	2,92%	42,96%	6,90%	0,47%	39,13%	1058,54%	55,58%	47,49%
Premium Debtors/Total Assets	39,10%	0,07%	5,03%	0,10%	0,63%	8,57%	4,24%	6,29%	5,69%
Accruals ratio									
Reinsurance									
Risk Retention Ratio	100,00%	100,00%	100,00%	100,00%	98,87%	100,00%	100,00%	100,00%	99,93%
Earnings									
Profit After Tax (000)	156	3699	202	-67	601	154	-22	318	5041
Return on Equity	1,69%	6,35%	0,15%	-8,89%	53,76%	4,46%	-0,22%	2,06%	2,12%
Return on Assets	1,08%	6,02%	0,12%	-1,64%	37,99%	3,47%	-0,21%	1,91%	1,75%
Loss Ratio	28,13%	17,22%	28,32%	86,21%	18,74%	17,10%	51,97%	36,59%	28,30%
Net Commission Ratio	20,26%	7,39%	3,24%	0,00%	3,86%	0,00%	11,16%	14,63%	7,47%
Net Expense Ratio	44,20%	85,49%	73,84%	98,28%	50,93%	57,98%	5,26%	78,05%	65,19%
Combined Ratio	92,59%	110,10%	98,53%	113,79%	73,56%	75,08%	68,38%	129,27%	93,98%
Investment Income/NPW Ratio	0,00%	85,49%	6,87%	70,69%	50,93%	0,00%	90,24%	49,10%	13,74%
Investment Income/Total Financial Assets	88,80%	5,16%	0,42%	0,10%	5,02%	0,00%	225,00%	14,50%	6,56%
Liquidity									
Working Capital	5 624	556	-3 739	2 946	635	-540	216	780	7 291
Current ratio (times)	12,71	2,66	0,66	10,73	4,76	0,45	1,94	1,93	1,29
Acid Test ratio									
Market Share of Total Liquid Assets	4,72%	1,28%	5,50%	74,22%	7,12%	0,17%	0,29%	6,71%	
Market Shares									
Market Share Based on GPW	21,55%	4,27%	59,48%	0,17%	6,15%	2,81%	0,12%	5,45%	
Market Share Based on NPW	21,57%	4,27%	59,52%	0,17%	6,09%	2,81%	0,12%	5,45%	
Market Share Based on Total Assets	5,02%	21,31%	60,85%	1,42%	0,55%	1,54%	3,55%	5,77%	



APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE YEAR ENDING 31 DECEMBER 2019 (000)									
	F. Funeral	Foundation	Moonlight	Orchid	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Written Premiums	7 450	1 475	20 559	58	2 127	971	41	1 882	34 563
Reinsurance Premiums		0			24				24
Net Written Premiums	7 450	1 475	20 559	58	2 103	971	41	1 882	34 539
Increase/(Decrease) in UPR	29					88			117
Net Earned Premiums	7 421	1 475	20 559	58	2 103	883	41	1 882	34 422
Transfer to IBNR								23	23
Outstanding claims			7	20			15		
Paid Claims	2 096	254	5 816	30	394	166		955	9 711
Net claims	2 096	254	5 823	50	394	166	15	978	9 734
Net Commission Incurred	1 509	109	667		82		6	210	2 583
Technical Result	3 816	1 112	14 076	8	1 627	717	20	694	22 070
Operating Expenses	3 293		13 767	16		563	32	99	17 770
Underwriting Result	523	1 112	309	-8	1 627	154	-12	595	4300
Management expenses		1261	1413	41	1071		37	924	4 747
Investment Income	214	8	1	3	52		27	58	363
Unrealised Gains/Losses					0				0
Other expenses	581	16	332	21	13			99	
Other Income		3858	1637		6			688	6 189
Profit Before Tax	156	3 701	202	-67	601	154	-22	318	5 043
Taxation		2				0			2
Profit After Tax	156	3 699	202	-67	601	154	-22	318	5 041
Transfer to policyholders funds				0					
Dividends						0			0
Retained Income	156	3 699	202	-67	601	154	-22	318	5 041



APPENDIX A3. STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 31 DECEMBER 2019 (000)

ASSETS	F. Funeral	Foundation	Moonlight	Orchid	Passion	Ruvimbo	Sunset	Vineyard	Total
Non-Current Assets									
Property (Including Investment)	8581	60390	166166	995		3000	9790	14893	263815
Intangible assets						601			
Investments	46	102	12		741	378		96	1375
Investments in Associated Companies								27	27
Other Non-Current Assets		74			37	12			123
Total Non-Current Assets	8 627	60 566	166 178	995	778	3 991	9 790	15 016	265 941
Technical Assets									0
Reinsurers' Share of O/S Claims									0
Deferred Acquisition Cost (DAC)									0
Total Technical Assets	0	0	0	0	0	0	0	0	0
Current Assets									
Cash & cash equivalents	195	53	227	66	294	7	12	144	998
Money Market Investments				3 000				133	3133
Current Prescribed Assets									0
Premium Receivables	5 665	43	8 832	4	10	380	434	1 046	16 414
Intercompany Investments					462				
Inventory and Other Debtors		795	238	19	38	58		293	1 441
Total Current Assets	5 860	891	9 297	3 089	804	445	446	1 616	22 448
TOTAL ASSETS	14 487	61 457	175 475	4 084	1 582	4 436	10 236	16 632	288 389
Liabilities									
Deferred Tax Liabilities			6224						6224
Future policyholders benefits	4815	2861	15958	3042	295			343	27314
Short term loans	225		1122			75			1422
Long term loans			118						118
Current Tax provisions			344						344
Gross Outstanding Claims			7						7
IBNR									0
UPR				67		499			566
Creditors				78		239			317
Amount due to related companies	236		12 685					836	13 757
Other Creditors		335		143	169	172	230		1 049
Total Liabilities	5 276	3 196	36 458	3 330	464	985	230	1 179	51 118
SHAREHOLDERS' EQUITY									
Share Capital	412		1500	14	1049	930	41	211	4157
Treasury stock							3		3
Share Premium	1 610			1 334				978	3922
Revaluation & Other Reserves	3 727	56306	153062	268	430	2055	9801		225649
Retained Profit	3 462	1 956	-15 545	-862	-361	466	161	14 263	3540
Shareholders' Equity	9 211	58 262	139 017	754	1 118	3 451	10 006	15 452	237 271
TOTAL EQUITY & LIABILITIES	14 487	61 458	175 475	4 084	1 582	4 436	10 236	16 631	288 389

